

2024

Annual Report

LOOKING BACK,
MOVING FORWARD





Active Re presents its 2024 Annual Report, reflecting a year of resilience, consistent performance, and global diversification.

Throughout the period, the Company demonstrated its ability to manage risk effectively, delivering reinsurance solutions that address the evolving requirements of clients and markets. Remaining firmly aligned with its philosophy of “Benefits for All”, Active Re continues to focus on creating sustainable value for all stakeholders.

OVERVIEW

Active Re expresses its sincere appreciation to our partners, colleagues and friends that have accompanied us on this 17-year journey.



CONTENT

01 About Active Re	4
About Us	5
Financial Highlights	7
Strategic Evolution and Update	10
Value Proposition	13
Mission	"
Vision	"
Institutional Motto	"
Strengths	"
Values	"
Geographical Scope	14
Message from the Executive Chairman	15
Yearly Review: Message from the CEO	16
02 Management Strategy Highlights	19
The Six Strategic Pillars	20
Global Business Development	23
Regional Business Initiatives	24
03 Underwriting Performance	25
In-House Underwriting	27
Property & Engineering	28
Affinity & Group Life Protection	29
Credit & Surety	30
Managing General Agents (MGAs)	31
Operating Framework	33
Strategic Outlook	"
04 Technical Operations	34
05 Retrocession Strategy	37
06 Corporate Governance, Risk & Compliance (GCR)	40
Sustainable Growth	41
Board of Directors – Leadership and Strategic Guidance	42
Our People – Strength and Value	43
ESG Criteria (Environmental, Social & Governance)	"
07 Technology & Innovation	46
Security	48
Flows – Processes	49
Vision for the future	"

About Active Re

LOOKING BACK,
MOVING FORWARD



About Us



Global, Specialised, and Innovative Reinsurance Company

Active Capital Reinsurance, Ltd. (Active Re), founded in 2007 and domiciled in Barbados, operates under a General Insurance and Reinsurance License granted by the Financial Services Commission (FSC) of Barbados. Over 17 years, Active Re has consolidated its position as a global reinsurer, with a team of 83 professionals and operations in more than 137 countries, serving 653 cedants and 170 brokers.

Its underwriting portfolio encompasses Affinity & Group Life Protection, Property & Engineering, Credit & Surety, and Casualty, complemented by Alternative Risk Transfer (ART) solutions, actuarial analysis, and risk management advisory services. In addition, Marine, Energy & Power, and Financial Lines are underwritten through a network of strategic partnerships with Managing General Agents (MGAs).

In 2023, and affirmed in 2024, AM Best assigned Active Re a Financial Strength Rating (FSR) of "A" (Excellent) and a Long-Term Issuer Credit Rating (ICR) of "a" (Excellent), both with a stable outlook. These ratings reflect Active Re's strongest level of balance sheet strength, consistent operating performance, and robust enterprise risk management (ERM). This recognition underscores the Company's ability to sustain disciplined growth, preserve strong capitalisation, and deliver resilient results across diverse markets, reinforcing its standing as a financially sound and forward-looking reinsurer.



In 2023, and affirmed in 2024, AM Best assigned Active Re a Financial Strength Rating (FSR) of "A" (Excellent) and a Long-Term Issuer Credit Rating (ICR) of "a" (Excellent), both with a stable outlook.





- **Net Premiums**
grew by **16%**
to **USD 223.8 million**

- **Retained Premiums**
increased by **17%**
to **USD 149 million**

- **Net Income rose**
to **USD 16 million**,
driven by financial income
of **USD 8 million**

- **Total Equity**
exceeded the **USD 100 million**
financial size benchmark

- **Return on Equity**
stood at **17%**

- **Technical profitability**
and a notable
contribution from
investment returns,
which grew by nearly
70% to USD 4 million

Resilience in the Face of Adversity

In 2024, Active Re achieved new milestones in its trajectory of growth and diversification. Despite a global landscape shaped by macroeconomic uncertainty and emerging risks, the Company successfully capitalised on market opportunities while safeguarding its strategic pillars.

Net Premiums grew by 16% to USD 223.8 million, while Retained Premiums increased by 17% to USD 149 million, both surpassing annual targets and reaching historical records. Net Income rose to USD 16 million, driven by financial income of USD 8 million, almost triple the prior year's figure of USD 3 million, with half attributable to the revaluation of the investment portfolio.

Total Equity exceeded the USD 100 million financial size benchmark, a significant milestone that opens the door to broader opportunities and markets. Return on Equity stood at 17%, supported by technical profitability and a notable contribution from investment returns, which grew by nearly 70% to USD 4 million. On average, 31% of the investment portfolio over the past two years was allocated to fixed-income instruments, including US Treasury Bills and investment-grade corporate bonds. The loss ratio improved by four points, decreasing from 67% to 63%.

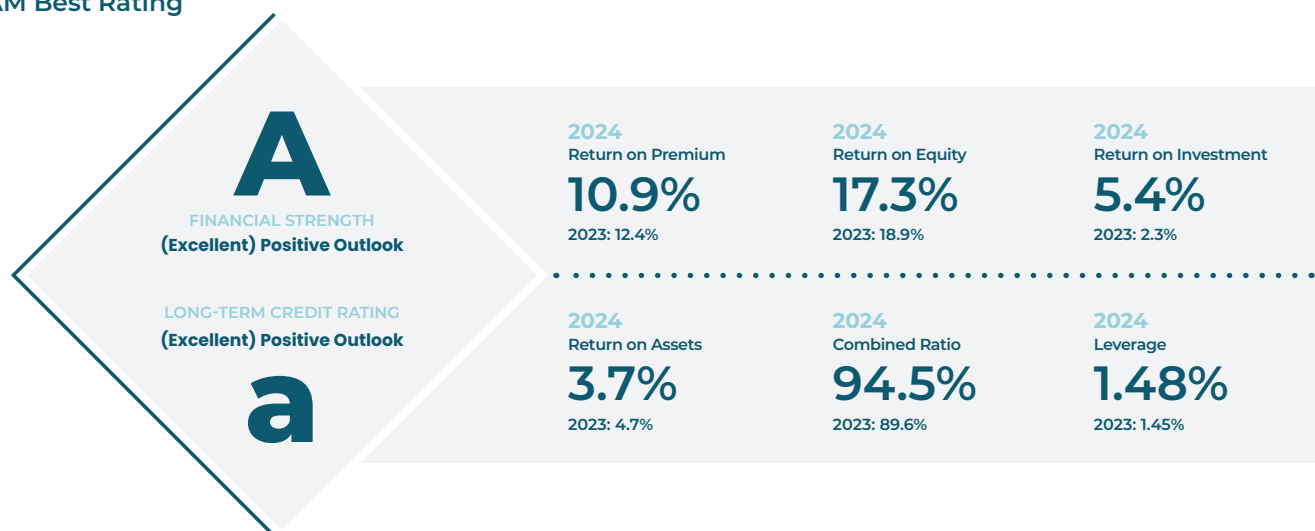
MGA Partnerships

A portion of the Company's business is managed in collaboration with strategic partners. Over the past three years, 40% of Gross Written Premiums has been underwritten through MGAs. These partnerships expand reach, providing access to specialised expertise, advanced tools, and diversified risks. As part of this model, underwriting results are shared, which explains the 4.9% increase in the Combined Ratio. Nevertheless, MGA partnerships are integral to Active Re's strategy, as they open the door to niche lines of business and complement its in-house underwriting capabilities. By leveraging both approaches, the Company reinforces its resilience, strengthens its global position, and secures sustainable growth opportunities across markets.

Financial Highlights

Active Re once again delivered strong results in 2024, consolidating its financial position and reaching historic milestones:

AM Best Rating

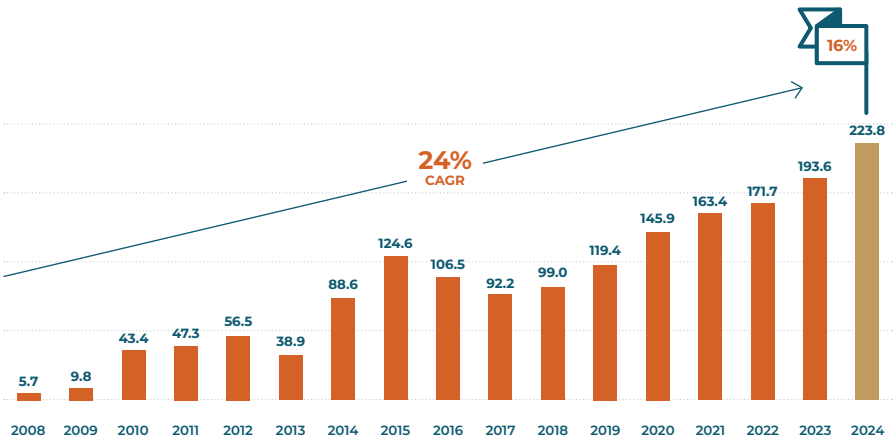


Our Performance 2020 -2024

US\$ in Millions	2024	2023	2022	2021	2020	% Change 2024-2023
Net Premiums Written	223.8	193.6	171.7	163.4	145.9	16%
Net Retained Premium	148.9	127.0	99.2	70.6	51.0	17%
Underwriting Income	20.0	23.8	39.3	22.0	14.6	-16%
Operating Income Before Taxes	8.3	13.2	18.3	13.9	9.7	-37%
Net Investment Income	8.1	2.9	-4.6	0.2	1.4	177%
Net Income	16.3	15.8	17.8	14.0	9.7	3%
Total Assets	487.1	346.6	278.6	250.1	245.8	22%
Total Equity	100.3	87.6	79.8	65.5	51.9	15%
Combined Ratio %	94.5	89.6	76.9	80.4	83.8	5%
Return on Premium %	10.9	12.4	18.0	19.8	19.0	-12%
Return on Equity %	17.3	18.9	24.6	23.8	21.0	-8%
Leverage	1.48	1.45	1.24	1.08	0.98	2%

Net Written Premiums Throughout the Years

US\$ in Millions



Average 5 years
2020 - 2024

Active Re's Performance
and Financial KPIs

Gross Written Premium

188.5 M

Combined Ratio

85.0%

Loss Ratio

57.7%

Technical Profitability

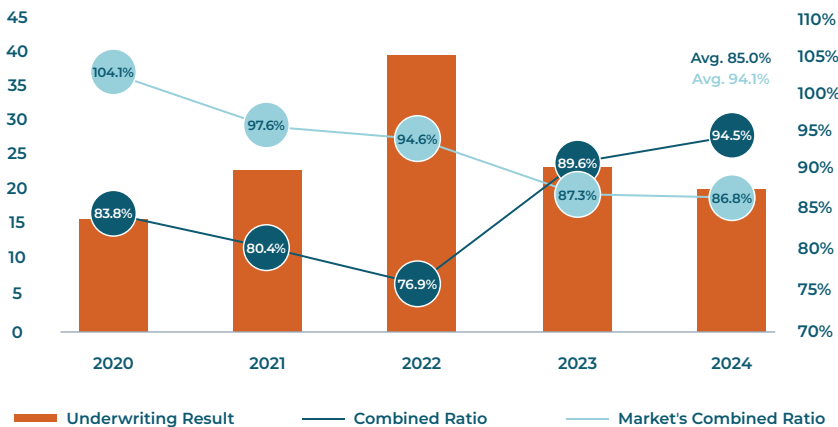
26.3%

Return on Equity

21.1%

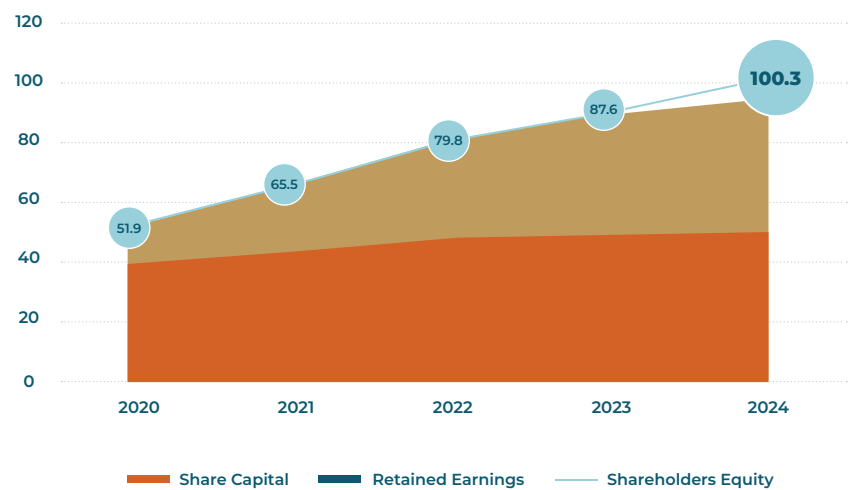
Underwriting Results and Combined Ratio

US\$ in Millions



Share Capital, Retained Earnings, Shareholders Equity

US\$ in Millions



These achievements confirm Active Re’s capacity to generate sustained value for shareholders and clients, while maintaining high levels of solvency and resilience in a dynamic market environment.



Average 5 years 2020 - 2024

Active Re’s
Performance and
Solvency Metrics

Regulatory Solvency

361%

Minimum Capital Required

\$15.3 M

Retention

67%

Pay-Out

23%

Share Capital - CAGR

14%

Strategic Evolution & Update

2007-2012

- Incorporated in the Turks and Caicos Islands.
- Issued with a General Insurance and Reinsurance License.
- Specialised reinsurer in Affinity and Bancassurance with the first registrations in the Americas.

2013-2014

- Redomiciled in Barbados.
- Continued capitalisation growth.
- First international rating of B+ / bbb (Stable Outlook) by AM Best.
- Expanded presence in Latin Americas markets.

2015-2017

- Opening of a business development office in Miami, Florida – Active Capital Corp – to meet the demands of the market.
- First delegated authorities structured with MGAs and Pools.
- Upgraded international rating to B++ / bbb+ (Stable Outlook) by AM Best.
- Implementation of product diversification and global operational strategy.

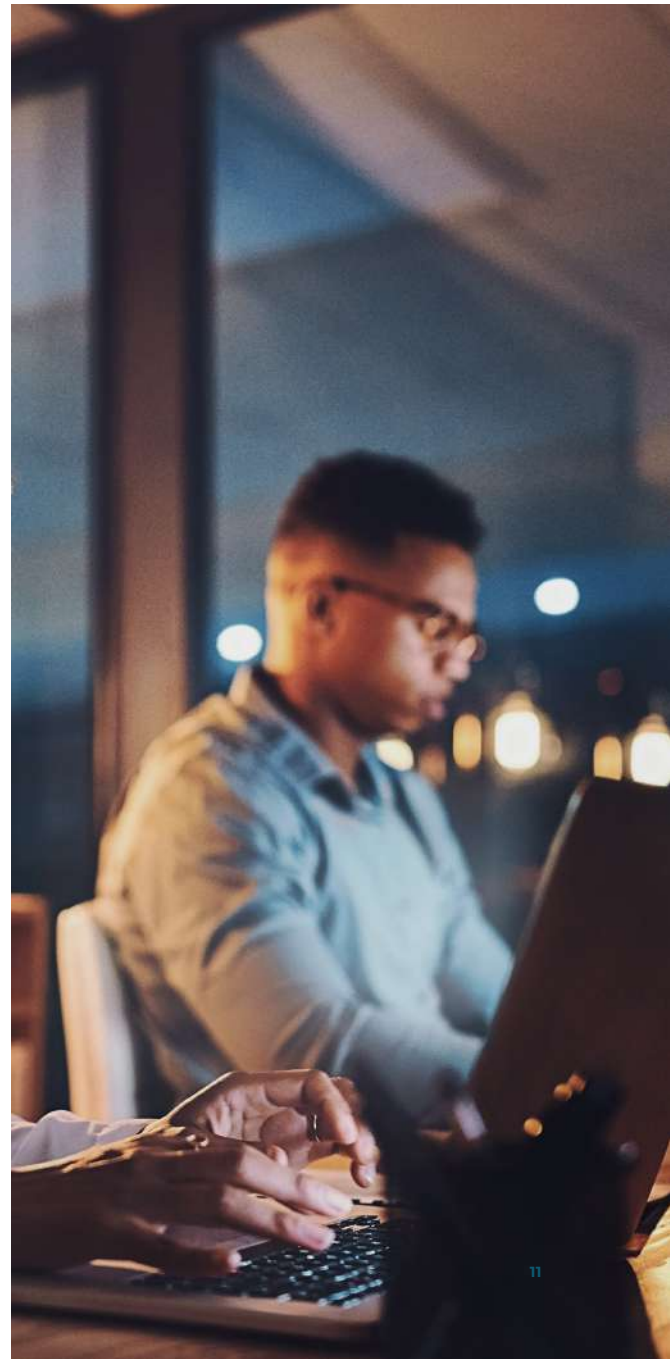


2018 — 2019

- Rebranded to Active Re, reinforcing a global vision.
- Increase in underwriting capacities and portfolio diversification in the Americas, the Middle East, Eastern Europe, Asia Pacific and North Africa.
- International rating upgraded and affirmed to A- / a- (Excellent) with Stable Outlook by AM Best.
- Opening of a new representative office in Madrid to enhance the overseas market development.
- Implemented a new integrated Reinsurance System.
- Received international awards and recognitions.

2020 — 2022

- Expanded global team with new professionals and directors.
- Further diversification of the portfolio into new territories, product lines and distribution channels. Relaunching of the Delegated Underwriting Authorities division of Active Re.
- Reaffirmed international rating A- / a- (Excellent) by AM Best, with Outlook improved from Stable to Positive.
- Successful and comprehensive integration between technical, operations, accounting and compliance systems.
- International recognition and awards.



2023 - 2024

- Strengthened operational and technological structures.
- Upgraded and affirmed international rating of A (Excellent) with Stable Outlook by AM Best.
- Equity surpassed USD 100.3M, enabling access to new markets.
- Consolidation of MGA and Facilities business as a pillar of growth and profitability.
- Introduced innovative initiatives to improve processes, delivering favorable results compared to peers.
- Expanded membership in industry associations (PASA, ICISA) and earned prestigious awards.
- Implemented the Economic Capital Model, consistent with the framework established by the International Capital Standards (ICS).



The Best Ally for our Clients

Active Re's value proposition is grounded in trust, technical expertise, and disciplined underwriting. The Company remains committed to delivering innovative, client-focused reinsurance solutions that reinforce financial stability and long-term partnerships.

Value Proposition

Benefit for All

Mission

Global, Specialised and Innovative

Vision

One Team, One Vision, One Goal

A statement of unity, shared purpose, and commitment to excellence.

Institutional Motto

Strengths

Investment – Grade Rating
A (Excellent) By AM Best

International Strategic Alliances

Highly experienced and knowledgeable workforce

Agility and responsiveness in a dynamic market

Innovative and specialised solutions

Strong client service culture

Track – record of trust and confidence

Values

Respect

Security and Integrity

Confidentiality

Commitment

Passion

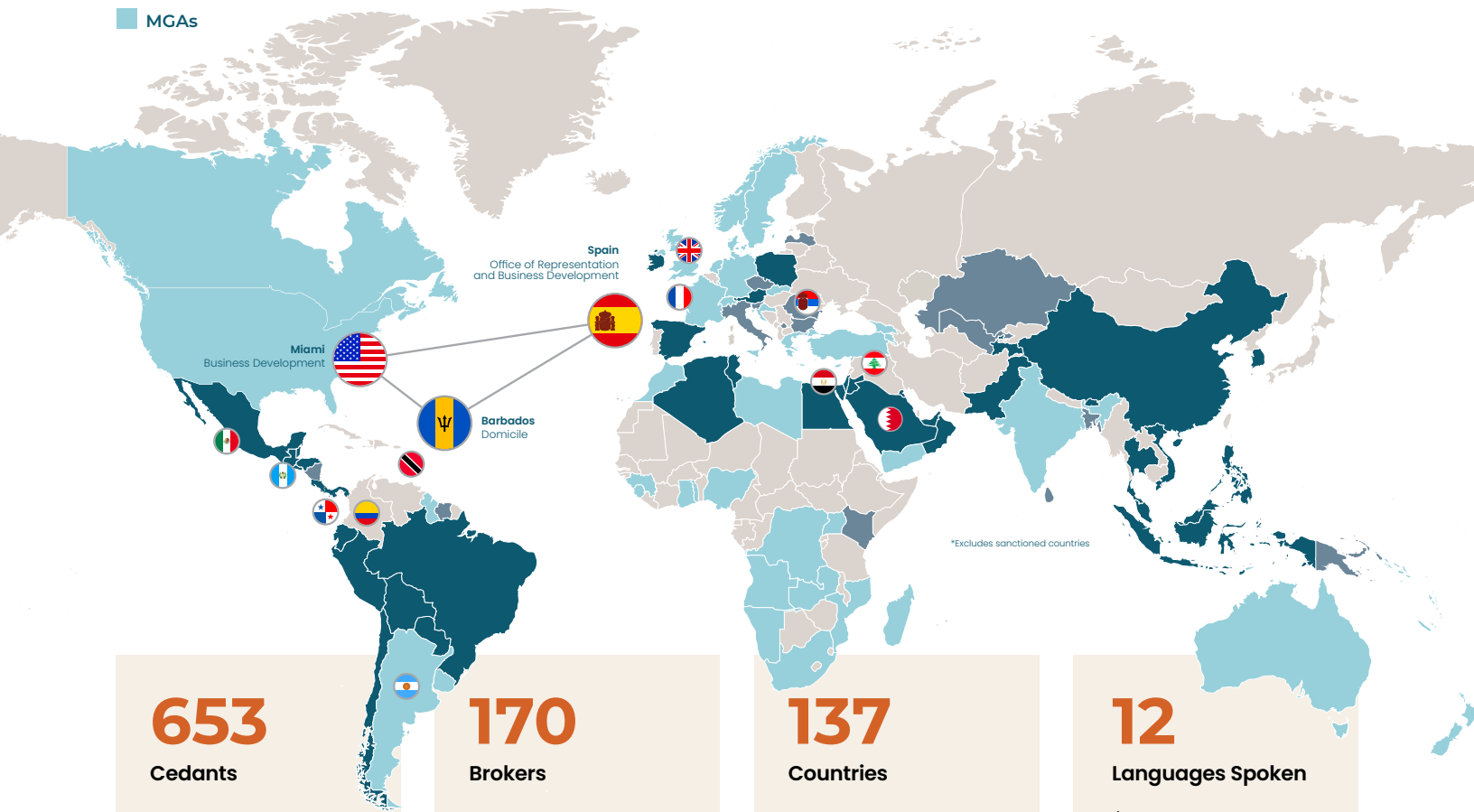
Discipline

Results

Geographical Scope

Active Re’s operations span a diversified global footprint, always maintaining proximity to clients and partners:

- In-house
- In-house & MGAs
- MGAs



"Always close to its clients and partners"

Message from the Executive Chairman

Dear clients, colleagues and friends,

As we celebrate our seventeenth anniversary, we are proud to share the achievements of the professional team at Active Capital Reinsurance, Ltd.

First and foremost, I would like to express my sincere appreciation and gratitude to our Board of Directors, colleagues, and especially the people of Active Re, located across various regions and time zones, whose support and trust have made it possible to celebrate another year marked by milestones that fill us with pride and reinforce our commitment to the motto: "One Team, One Vision, One Goal."

Our company believes that investment in digitalization and innovation must remain a primary pillar. We apply advanced analytics- to underwriting and financial management processes, maintaining a disciplined approach toward our strategic objectives, with a focus on short-term and non-catastrophic risks.

As detailed in this report, during 2024 the company consolidated key achievements within its organic growth trajectory. Notably, we maintained our international credit rating of "A" from the prestigious agency AM Best and surpassed the \$100 million capital mark.

In a global environment marked by increased volatility, macroeconomic uncertainty, geopolitical tensions, and a variety of emerging risks, our operational management successfully capitalized on market opportunities without compromising our strategic foundations.

In summary, we have completed another year of clear achievements that reaffirm our position as a trusted and responsible reinsurer for our clients and shareholders.

With my best wishes to all of you.



Juan Antonio Niño Pulgar
Executive Chairman



“

Our company believes that investment in digitalization and innovation must remain a primary pillar.

Yearly Review:

Message from the CEO



“

Today, Active Re's product lines include Affinity & Group Life Protection, Property & Engineering, Energy & Power, Credit & Surety, Marine, and Financial Lines.

Dear Shareholders, clients, partners, and friends,

In 2024, Active Re achieved new milestones in its trajectory of sustained organic growth and diversification. Net Premiums grew by 15.6% to \$223.8 million, and Retained Premiums increased by 17.2% to \$148.9 million, outperforming the annual target and achieving historical records. Net Income reached \$16.3 million, and the Return on Equity (ROE) of 17.3% was achieved through both technical profitability (8.7%) and a notable contribution from the Return on Investments (8.6%). Financial income (\$8.1 million) nearly tripled compared to the previous year (\$2.9 million), half of which was due to the investment portfolio revaluation.

These results enabled us to take fundamental strategic decisions that reinforce Active Re's positioning as “The best ally for our client” and to deliver on our promise of “Benefits for All.”

Total Equity surpassed the Financial Size targeted of \$100 million, showing a compound annual growth rate (CAGR) of 47% since inception and 20% annually since 2019. Robust capitalisation and shareholders' decision to reinvest profits have increased our offered capacities and risk retention (67%) in a hard market environment, maintaining high levels of regulatory solvency and an “A” (Excellent) financial strength rating affirmed by AM Best this year.

The growth reported in recent years also supported the decision to strengthen reserves and adopt a new actuarial methodology for estimating IBNR reserves, which was certified in 2024. This was particularly relevant for our Property & Engineering (P&E) portfolio, which accounted for 65% of Net Premiums in 2024, reflecting an average annual growth of 29% since 2019 and 31% in 2024 alone. Such expansion enhanced our capacity to absorb attritional losses and mitigate the impact on clients from several catastrophic events during the year, including earthquakes in Asia and severe rainfall and flooding in the MENA region.

The Credit and Surety portfolio continued to deliver stable growth and a solid contribution to Active Re's overall volume and profitability, driven primarily by increased penetration in European and Asian markets. Since 2023, the underwriting



- **40% of Gross Written Premiums (GWP) were underwritten through Managing General Agents (MGAs) increasing to 46% in 2024.**

- **The regional composition of Active Re's portfolio** has evolved in line with its global expansion, gaining stability, with EMEA and APAC accounting for **55% of total GWP** and the Americas representing the remaining **45%.**

- **North America** increased from **6.5% of GWP in 2022 to 18.5% in 2024.**

of Affinity & Group Life Protection has been strategically reoriented, with a focus on pricing discipline and margin optimisation to address rising social inflation and loss ratios that remain above pre-COVID-19 pandemic levels, particularly in the Americas. As a result, while reported premium volume in 2024 decreased, underwriting performance in these lines improved, strengthening their long-term sustainability.

A significant portion of Active Re's business portfolio is managed jointly with strategic partners. Over the past three years, 40% of Gross Written Premiums (GWP) were underwritten through Managing General Agents (MGAs) increasing to 46% in 2024. MGAs complement our in-house underwriting by providing specialized expertise, technology, operational efficiency, and access to new sources of portfolio diversification. As part of these partnerships, a share of underwriting results is transferred to MGAs, which contributed to an increase in the Combined Ratio (CoR) to 94.5% in 2024. This effect was mitigated by a reduction in Loss Ratio (from 67.1% to 63.1%) and an improvement in Administrative Costs (7.9%), below the historical average.

The contribution of accepted treaties increased to an average of 31% of GWP over the last three years, surpassing the 29% contributed by facultative business during the same period. The regional composition of Active Re's portfolio has evolved

in line with its global expansion, gaining stability, with EMEA and Asia Pacific accounting for 55% of total GWP and the Americas representing the remaining 45%.

The portfolio's average country's risk has positively shifted, indicating an enhanced operating environment for Active Re. Notably, the participation of businesses produced in North America increased from 6.5% of GWP in 2022 to 18.5% in 2024. In compliance with current regulations, we have offered collateral to US cedants as additional security, reaffirming Active Re's credibility as a qualified reinsurer.

The investment portfolio has consistently improved over the past two years, doubling in volume in 2024, driven by the expansion of net cash flow from operational activities and the ability to capitalise on more favorable market conditions. A significant share (73%) of financial assets is invested in countries whose country risk scores are ranges I and II, according to AM Best.

On average, 31% of the investment portfolio in 2023–2024 was invested in fixed-income instruments, including US Treasury bonds and investment-grade corporate bonds. The share of capital invested in public and private equity funds increased to 73% of the portfolio by the end of 2024. Treasury management remained focused on optimizing liquidity,

enhancing short-term investment returns, and controlling exposure to currency fluctuations across more than 60 currencies in which accepted business transactions are denominated.

Active Re begins 2025 in a stronger position to meet its strategic objectives through 2027, facing new global challenges. Renewals in the first half of the year confirm an increase in demand for protection, alongside a gradual shift toward a softer pricing phase of the reinsurance market cycle. We will continue to focus on profitability, disciplined underwriting, cost control, and diversification, while maintaining an aversion to catastrophic exposures and high-volatility coverages.

Through continued investment in digitalisation and innovation, Active Re strengthens its ability to apply advanced analytics to underwriting and financial management. This approach not only supports disciplined execution but also enhances our capacity to respond swiftly to market dynamics, ensuring sustainable growth and long-term value creation for our stakeholders.

The ERM framework received a new boost with the implementation of a Capital Model to assess risks, ensure financial and equity stability, and effectively respond to

adverse events. Retrocession protections will be restructured under a scalable global model backed by high-quality securities, many of which have been long-standing partners. We will continue to prioritize prudent asset-liability matching, liquidity, counterparty risk management, and regulatory compliance, both in our domicile of Barbados and across all markets in which we operate.

Our Corporate Culture and Image will continue to be reinforced through internal communications and by promoting the Active Re brand globally with higher-quality content. In summary, 2024 marked another year of tangible achievements that confirm our position as a professional and trusted reinsurer for our clients and stakeholders.

Finally, I extend my sincere gratitude to our 653 cedants, 7 MGAs, and 170 brokers conducting business across 137 countries, and, above all, to our 83 colleagues worldwide, whose talent, dedication, and collaboration across regions and time zones continue to drive the growth and strengthen the reputation of Active Re.

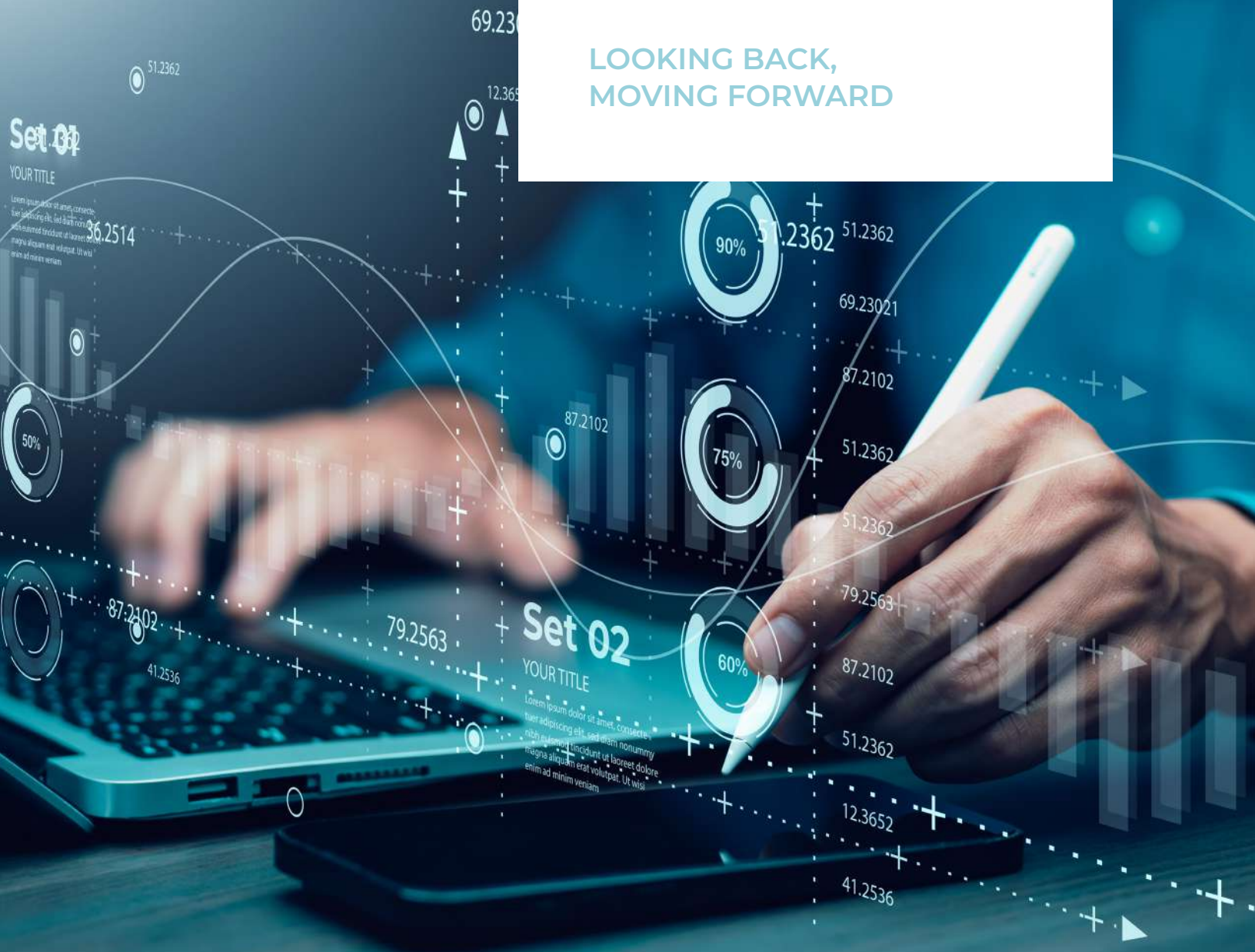


Ramon Martínez Carrera
CEO



Management Strategic Highlights

LOOKING BACK,
MOVING FORWARD



The Six Strategic Pillars of Active Re

Active Re continues to strengthen its role as a dynamic and visionary reinsurer, aligning its operations with international best practices and maintaining a forward – looking strategic framework. This is reflected in its current Strategic Plan, which is anchored on six core pillars designed to ensure resilience, profitability, and sustainable growth.



I

Sustained Growth and Diversification

A strong balance sheet, prudent cash-flow management, and disciplined capital allocation underpin the Company's financial solidity. Emphasis is placed on enhancing efficiency, broadening diversification by geography and line of business, and prioritising growth in markets with lower country risk, where Active Re's expertise adds resilience and sustainable value.

II

Investment and Global Market Outlook

Investment optimization with a focus on liquidity, solvency, and asset-liability matching underpins the Company's long-term resilience. Through disciplined asset allocation, broad diversification across financial instruments, and prudent oversight of cash and investment policies, Active Re ensures financial stability while maintaining the flexibility to capitalise on opportunities in global markets.



III

Innovation and Digital Transformation

Strong client and partner relationships remain at the centre of Active Re's strategy. Advanced digital platforms, supported by modeling and data-driven tools, enable better decision-making, greater operational efficiency, and tailored reinsurance solutions.

IV

Operational Performance Optimisation

The continuous reinforcement of underwriting guidelines, together with stronger retrocession and enhanced cross-functional collaboration, ensure alignment across teams and consistency in results. These initiatives mitigate process risks and support the delivery of high standards across the organisation.



V

Business Development and GRC Culture

Sustainable growth is supported by a robust Governance, Risk and Compliance (GRC) framework. Comprehensive risk assessments safeguard financial stability, ensure regulatory compliance, and reinforce ethical conduct. Partnerships are prioritised with counterparties demonstrating financial soundness, solvency, strong ratings, and a solid reputation.

VI

Talent Structure and Management

Attracting, developing, and retaining talent remains a central focus. The Company fosters continuous learning, inclusive leadership, and professional growth while promoting a healthy work-life balance. Structured training, mentoring, and succession planning strengthen Active Re's leadership pipeline, ensuring the organisation remains prepared for long-term expansion.

Global Business Development

In 2024, Active Re advanced its global positioning through a structured and selective business development strategy aimed at supporting sustainable underwriting performance. Beyond expanding geographical reach, the Company prioritised portfolio quality, risk segmentation, and disciplined underwriting standards.

Key efforts were directed towards strengthening engagement with cedants, brokers, MGAs, and other strategic partners. Enhanced segmentation, supported by data-driven tools, enabled more accurate identification of growth opportunities, while upgraded CRM systems improved client service and efficiency.

The strategy was anchored on five priorities: reinforcing treaty business; deepening direct relationships with cedants to reinforce transparency and margins; leveraging alliances with leading international and regional brokers to broaden access and market presence; entering new markets with tailored, value-generating solutions aligned with clients' needs; and optimising operational systems to respond effectively to evolving market dynamics and client expectations.



Regional Business Initiatives

Aligned with its global vision, Active Re implemented region-specific initiatives, designed to maximise growth potential while maintaining strict underwriting discipline:



Americas & Caribbean

Expanded participation in automatic treaties, entered new markets, particularly in North America, onboarded cedants aligned with Active Re's risk appetite, and enhanced collateral management to support U.S. operations.



Europe, Middle East & Africa (EMEA)

Strengthened direct relationships with cedants, increased participation in treaties, and maintained underwriting discipline by focusing on well-priced business.

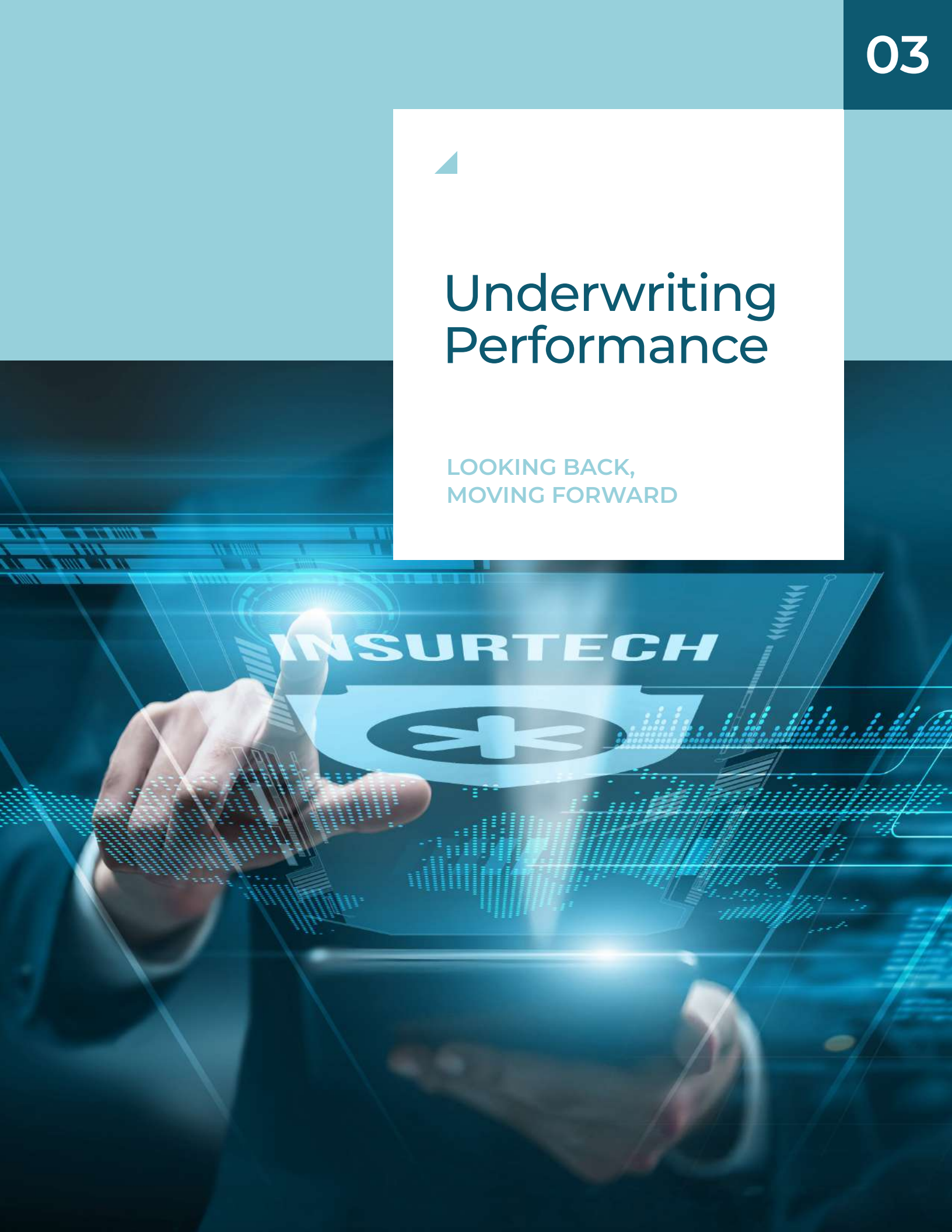


Asia-Pacific (APAC)

Deepened collaboration with regional and multinational brokers, secured presence in high-impact markets, and targeted opportunities in territories with low-catastrophe exposure and secondary peril risks.

These initiatives translated into tangible growth across all regions, strengthening client diversification, underwriting margins, and alignment with the Company's disciplined risk appetite.



A hand in a suit jacket is shown interacting with a futuristic, glowing blue digital interface. The interface features various data visualizations, including a line graph, a bar chart, and a circular gauge. The word "INSURTECH" is prominently displayed in a bold, sans-serif font. The background is a dark blue gradient with abstract light patterns and a small white triangle in the upper left corner.

Underwriting Performance

LOOKING BACK,
MOVING FORWARD

INSURTECH



2024

In 2024, net written premium totaled USD 223.8 million

Active Re's underwriting remains firmly aligned with its defined risk appetite, maintaining a diversified portfolio by geography and lines of business. The Company's disciplined approach to risk assessment and portfolio management has underpinned sustainable growth, reinforcing its capacity to deliver consistent results across changing market cycles.

Over the past years, underwriting activities have experienced both steady growth and structural evolution. The deliberate balance between in-house underwriting and MGAs has positioned Active Re to capture opportunities across traditional and specialised lines of business, while strengthening portfolio resilience and profitability.

In 2024, net written premium totaled USD 223.8 million, with in-house underwriting contributing 54% and MGAs 46%. The in-house portfolio is anchored in three principal lines of business—Affinity & Group Life Protection, Credit & Surety, and Property & Engineering—whilst the MGA network extends the Company's reach into niche and specialised classes such as Marine, Energy & Power, and Financial Lines. This complementary model has broadened the scope of the underwriting platform and improved technical results, further strengthening the foundations of the Company's underwriting strategy.

Retrocession arrangements provided an additional layer of strength, supporting disciplined risk selection and ensuring capacity was deployed prudently across both in-house and delegated portfolios. Together with reinforced underwriting guidelines, these measures contributed to enhanced diversification, robust protection against volatility and the safeguarding of capital, thereby reinforcing the Company's ability to deliver sustainable profitability and long-term value across evolving market conditions.



- **In-house underwriting contributing 54% of total GWP**



In-House Underwriting

Active Re's in-house underwriting team anchors the Company's technical discipline, managing both treaty and facultative business as part of a unified and cohesive portfolio.

The in-house portfolio is structured around three principal lines of business: Affinity & Group Life Protection, Credit & Surety, and Property & Engineering, with Property & Engineering representing the largest contributor and primary driver of gross written premium. This structure provides the basis for a balanced, resilient and sustainable underwriting platform, supporting Active Re's focus on risk-adjusted profitability and long-term growth.

In 2024, the unit maintained a clear emphasis on quality over volume, driven by rigorous pricing methodologies, advanced catastrophe-risk modelling and proactive portfolio steering. Collaboration with cedants and brokers strengthened alignment with the Company's risk appetite while enhancing responsiveness to evolving market conditions.

In-house underwriting accounted for 54% of total gross written premium, representing a solid contribution compared to the USD 113.8 million recorded at year-end 2023. Treaty agreements generated USD 67.7 million (55%), while facultative placements contributed USD 54.6 million (45%), a complementary balance that reflects the strength of the portfolio as a whole.

Treaty underwriting became an increasingly relevant component of the in-house portfolio, consolidating

Active Re's recognition and reliability across international markets. The underwriting of treaties is guided by a clear objective: to build a balanced, profitable and sustainable book of business, supported by strict acceptance criteria, prudent capacity deployment and the avoidance of high-volatility exposures. Business is written on standard market wordings to ensure clarity and consistency, while pricing discipline is applied through a four-pillar methodology that blends exposure analysis, experience, benchmarking and market knowledge. This disciplined process ensures that treaties remain risk-commensurate and sustainable, reinforcing Active Re's reputation as a trusted and disciplined partner.

Facultative underwriting continued to deliver strong profitability and efficiency, providing diversification and agility to capture specific opportunities and tailor solutions to cedants' needs. It also remained a powerful relationship-builder, with many cedants initially engaging through facultative placements before extending cooperation into treaties. This progression illustrates the trust earned through consistent underwriting discipline and responsiveness, strengthening long-term partnerships and enhancing Active Re's reputation as a reliable reinsurance partner.

Both facultative and treaty underwriting streams remain integral to the Company's business model. Together, they support portfolio resilience and profitability, reinforcing Active Re's position as a disciplined and trusted reinsurer. This solid foundation provides the context for the performance of each line of business managed in-house during 2024.

Property & Engineering

The Property and Engineering portfolio continued to demonstrate solid performance in 2024, achieving a total gross premium of USD 42.87 million. The business was primarily driven by the International Underwriting Team, which contributed USD 32.75 million, representing 76.4% of the total.

Meanwhile, the Americas Underwriting Team accounted for USD 10.12 million, or 23.6% of the gross premium. This distribution reflects Active Re's strategic focus on international diversification and its ability to capture opportunities across multiple markets. The sustained growth in this line underscores the company's commitment to underwriting discipline and its resilience in a dynamic risk environment.



■ **Total gross premium
of USD 42.87 million.**

Affinity & Group Life Protection

The Affinity & Group Life Protection line of business remains an important contributor to portfolio stability and diversification. In 2024, the portfolio was strategically recalibrated to prioritise profitability over volume, with greater emphasis on pricing adequacy, margin optimisation and portfolio quality.

As a result, gross written premiums declined from USD 69 million in 2023 to USD 60 million in 2024, reflecting a deliberate repositioning of the book. Despite the lower premium volume, technical results improved materially, supported by enhanced risk selection and stronger engagement with cedants.



This line of business is particularly relevant in the Americas, where social inflation, evolving health trends and post-pandemic claims patterns are reshaping demand. Active Re's response, anchored in rigorous risk assessment and high-quality service, has ensured sustainability and reinforced long-term partnerships.

**Active Re
engaged in
business with
28 companies
across 7
countries**

Although the majority of business remains concentrated in Latin America, operations in other regions, such as the MENA area, are of growing strategic importance. In the reporting year, Active Re engaged in business with 28 companies across 7 countries, underscoring the relevance of its international footprint. These international markets not only contribute meaningfully to the overall portfolio but also provide valuable opportunities for sustainable growth. By capitalising on synergies across lines of business, Active Re continues to reinforce its global presence and long-term diversification.

Looking ahead, Affinity & Group Life Protection is expected to remain a stabilising element of the portfolio, providing resilience and sustained value creation.

Credit & Surety

In 2024, Active Re’s Credit & Surety (C&S) portfolio delivered a very strong performance, generating USD 26.3 million in premium income with excellent technical results and an exceptionally low loss ratio of 20%.

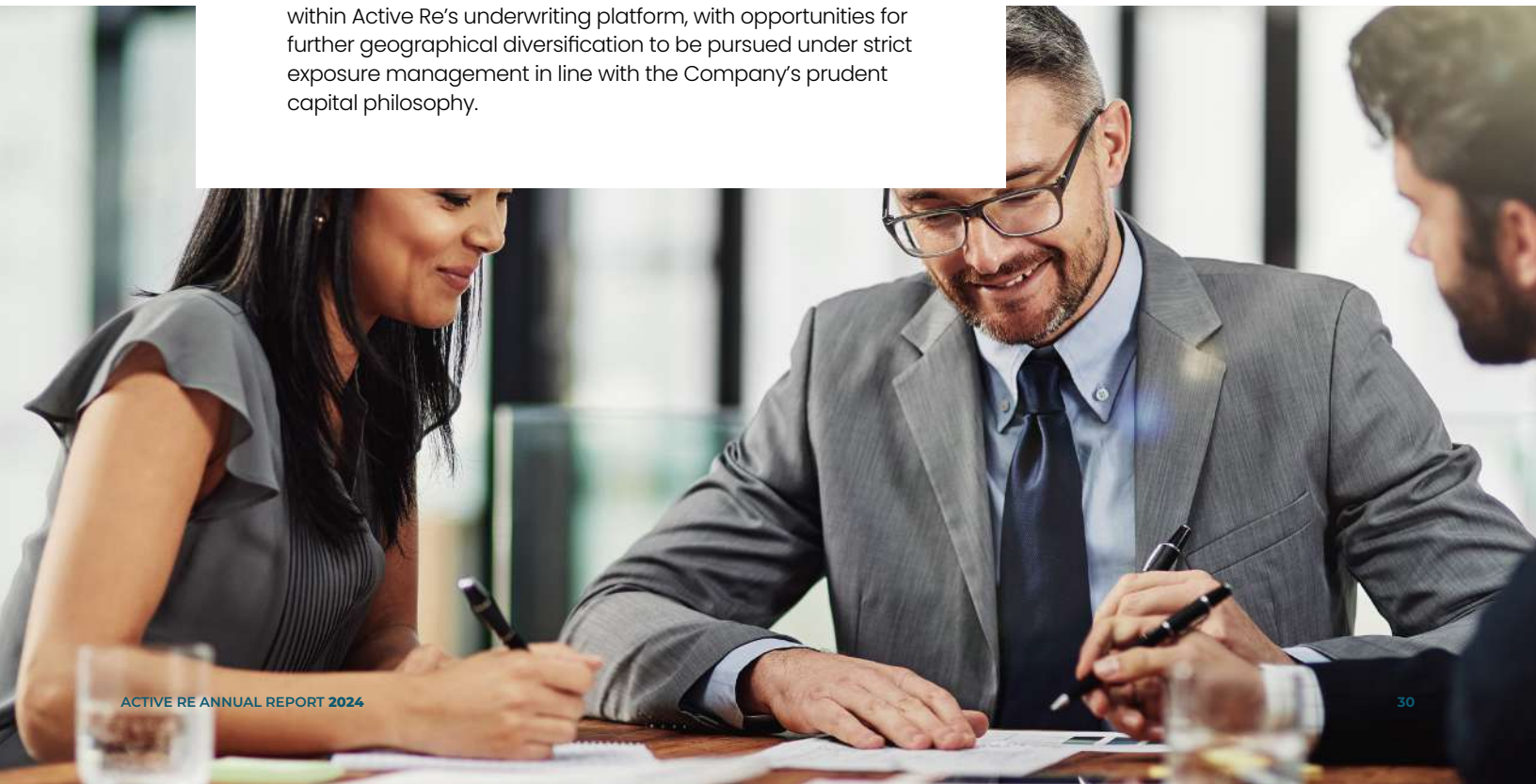
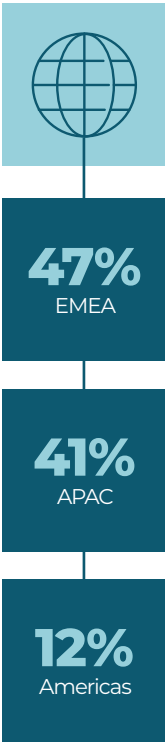
Surety continued to dominate the book, representing approximately 90% of premiums. This line has consistently proven more stable, less capacity-consuming and structurally capable of sustaining superior margins, while Trade Credit was maintained on a selective and conservative basis through specialised partners.

Facultative placements also contributed positively during the year. While accounting for only 6% of revenues, these acceptances, concentrated in the Americas, Spain and Italy, achieved a 0% loss ratio, underscoring their value as a complementary element of the overall portfolio.

From a geographical perspective, revenues remained well diversified, with 47% originating from EMEA, 41% from Asia Pacific, and 12% from the Americas. This balanced distribution reflects both the maturity of Active Re’s established markets and the company’s continued ability to adapt to diverse regional dynamics, ensuring sustainable growth across territories.

C&S therefore remains a key driver of technical profitability within Active Re’s underwriting platform, with opportunities for further geographical diversification to be pursued under strict exposure management in line with the Company’s prudent capital philosophy.

Revenues



Managing General Agents (MGAs)

MGAs have become an integral component of Active Re’s underwriting strategy, providing specialised expertise, niche market access and additional diversification beyond the scope of the in-house teams. In 2024, MGA partnerships accounted for 46% of total GWP, underscoring their importance within the Company’s operating model. While the in-house underwriters lead the Affinity & Group Life Protection and Credit & Surety portfolios, MGAs allow Active Re to participate in lines such as Financial Lines, Marine, Energy & Power, as well as providing complementary capacity in Treaty reinsurance and Property & Engineering binders.

This model combines delegated authority with robust technical oversight, ensuring that all externally underwritten business remains aligned with Active Re’s risk appetite and profitability objectives. The growing scale of the MGA segment highlights its strategic contribution to diversification, distribution reach and product innovation across Active Re’s global platform.

Since signing its first Delegated Underwriting Authority (DUA) agreement with Rokstone Underwriting Partners in 2015, Active Re has built an almost decade-long partnership that marked the beginning of its expansion through MGAs. Over the years this collaboration has evolved into a cornerstone of the Company’s delegated operations, supporting growth, diversification and the establishment of long-term, specialised alliances.

■ **MGA partnerships accounted for 46% of total GWP**

Weighted Evaluation of MGAs

- **Systems and control**
- **Technical and Operations**
- **Corporate**



DUA operations accounted for 46% of Active Re's gross written premium, totaling USD 101.9 million from 129 countries

By 2019, continued growth led to the formal creation of the DUA Department, the standardisation of binder documentation, and the implementation of operational tools and structured processes, including a weighted assessment and onboarding matrix for each MGA.

Between 2020 and 2023, the focus shifted towards strategic global expansion and automation. During this period, the Company adopted tools to automate policy and endorsement recognition, as well as premium application and claims handling. In 2024, Active Re reinforced its operational capabilities by incorporating key positions, including a Supervisor, additional Coordinators, a Run-Off Portfolio Analyst, and a Claims Analyst.

By the end of 2024, the results were clear: DUA operations accounted for 46% of Active Re's gross written premium, totaling USD 101.9 million from 129 countries. This performance reflects the strength of MGA relationships, the dedication of the team, and the soundness of the operating model.

“

This performance reflects the strength of MGA relationships, the dedication of the team, and the soundness of the operating model.



Operating Framework

Active Re's DUA framework operates through two complementary phases. The first phase focuses on internal operations. It begins with the identification of new lines of business aligned with the Company's strategic plan. Each opportunity undergoes a rigorous onboarding process that combines technical and financial analysis, followed by the negotiation and execution of the delegated authority agreement. Once approved, appropriate underwriting capacity is structured, and performance is subject to continuous oversight to ensure discipline and alignment with established standards.

The second phase centres on external operations, where Active Re collaborates with leading retrocession brokers to secure the most relevant protections for each DUA portfolio. This process is reinforced by ongoing monitoring, robust controls, and detailed reporting throughout the lifecycle of every agreement, ensuring transparency and resilience.

Trust is a fundamental component of successful delegation which involves empowerment, accountability and collaboration. While some reinsurers may delegate authority with limited oversight, Active Re safeguards its strategic interests through strict underwriting guidelines with zero tolerance for breaches, monthly four-eye audits of risks and claims bordereaux, and, most importantly, by operating all binders on a prior-submit basis. These measures ensure that every partnership upholds discipline, transparency, and full alignment with the Company's long-term objectives.

Strategic Outlook

Active Re maintains a disciplined, long-term approach to its MGA relationships. The strategy is focused on exploring emerging and niche lines of business, such as cyber, parametric solutions and aviation, while enhancing portfolio diversification through a balanced distribution of exposure across geographies and sectors. Equal importance is placed on maintaining technical quality, supported by structured bordereaux, detailed reporting and advanced data analytics that enable the dynamic calibration of the Company's risk appetite.

In terms of capacity deployment, Active Re maintains an optimal line size of between USD 600,000 and USD 2.5 million per risk, with flexibility applied according to the characteristics of each business line and the potential of every partnership.

From a geographical perspective, the Company is strengthening its reach by identifying specialised MGAs in key South American and European markets.

Innovation remains central to Active Re's strategy. The Company is advancing the development of enhanced portfolio management tools and more sophisticated data capabilities, while further strengthening internal processes to support future evolution. Together, these initiatives reaffirm Active Re's commitment to cultivating long-term, high-performing MGA relationships that underpin sustainable and profitable growth.



Active Re's DUA framework operates through two complementary phases.

The first phase focuses on internal operations.

The second phase centres on external operations, where Active Re collaborates with leading retrocession brokers to secure the most relevant protections for each DUA portfolio.

Active Re maintains an optimal line size of between USD 600,000 and USD 2.5 million per risk.



Technical Operations

LOOKING BACK,
MOVING FORWARD



The number of remittances received increased by 6%, totaling 1,541. The corresponding amounts grew by 24%, reaching USD 130 million.

2,528 claims
or reserve movements were reported, 95% of which were processed within the year.

5,125 claims
were settled, with USD 96.07 million disbursed and netted.

Operational Efficiency and Technical Resilience

The Technical Operations division oversees Technical Accounting, Claims Management and Collections, with dedicated teams and resources allocated across the Treaty, Facultative and MGA underwriting portfolios.

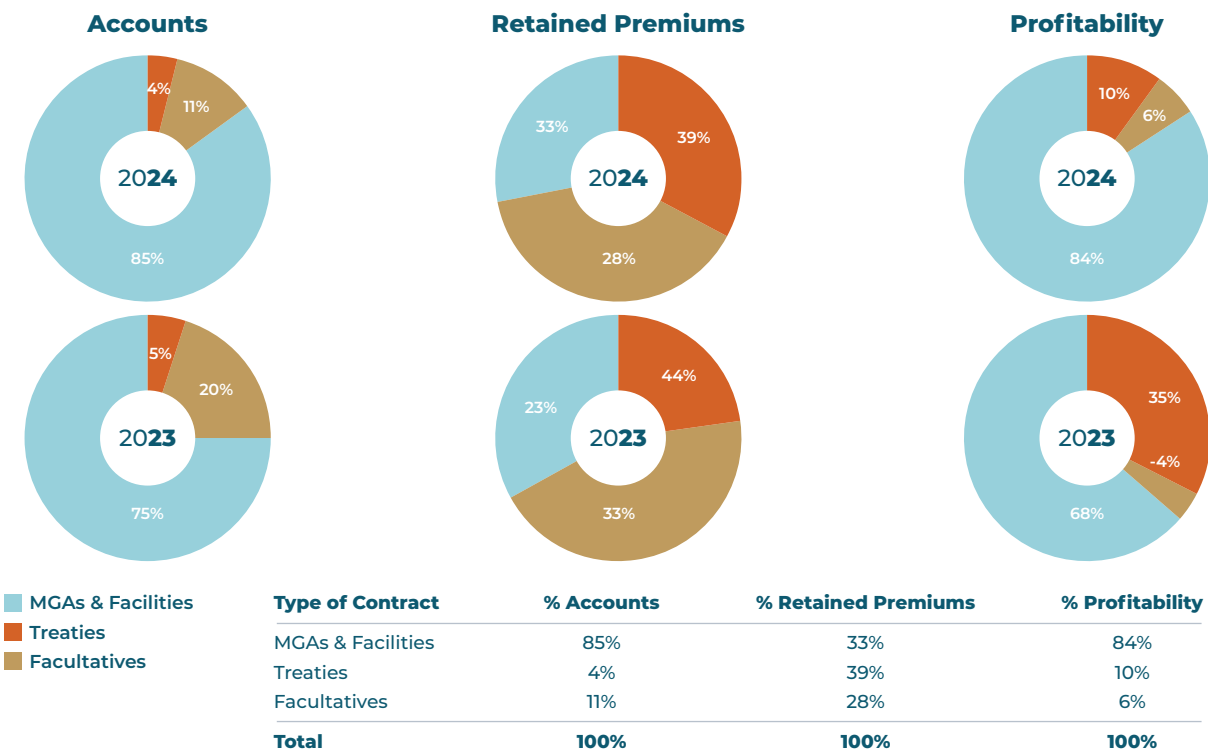
The continued growth of the business portfolio has led to the onboarding of specialist roles designed to address the specific requirements of each segment, thereby enhancing the efficiency and responsiveness of the division.

Key metrics for 2024

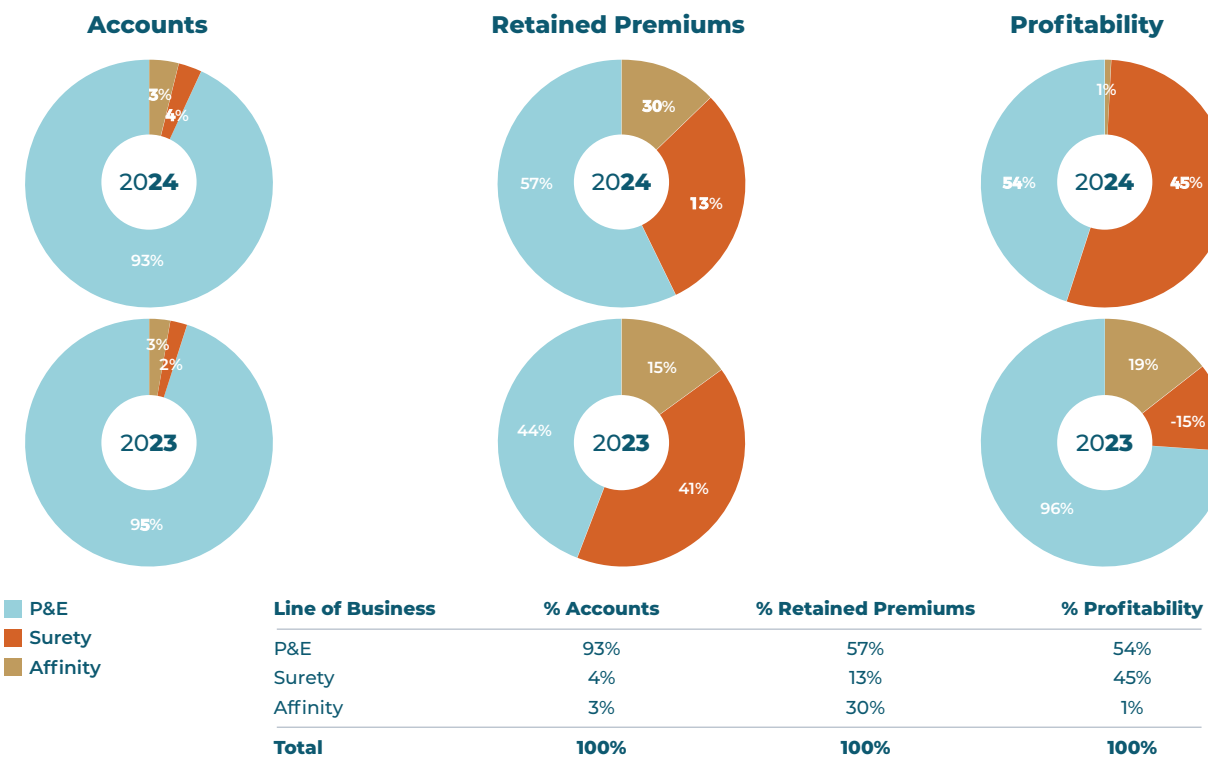
- **Remittances:** The number of remittances received increased by 6%, totaling 1,541. The corresponding amounts grew by 24%, reaching USD 130 million.
- **Transaction Volume:** A total of 13,844 transactions were processed from the remittances received.
- **Treaty Portfolio:** 1,812 treaty contracts remained in force, with 8,851 Statements of Account (SOAs) reconciled.
- **Claims and Reserves:** 2,528 claims or reserve movements were reported, 95% of which were processed within the year.
- **Claims Payments:** 5,125 claims were settled, with USD 96.07 million disbursed and netted.

Leveraging technology remains essential to managing the operational volumes expected by the Underwriting team, and implementing AI-driven tools will be key to achieving greater operational efficiency in 2025.

Portfolio Structure by Treaty Type 2024



Portfolio Profile by Lines of Business Type 2024



Retrocession Strategy

LOOKING BACK,
MOVING FORWARD



Strategic Evolution of Active Re's Retrocession Program

As Active Re grows, it continues to evolve its approach to capital protection and risk management through a strategic and holistic retrocession framework. As the Company expands its global footprint across new markets and product lines, securing capital protection with top-rated security remains a pillar in safeguarding the balance sheet and enabling long-term, profitable growth.

The Company's buying philosophy is transitioning from a transactional to a more strategic model, aligning retrocession placements with both in-house underwriting teams and MGA partnerships. Beyond reinforcing capital, this new approach is designed to deliver cost efficiencies, improve cash flow, and provide protections that are simpler to manage.

This process requires close coordination between the Underwriting, Finance and Retrocession teams. Active Re is confident that, within the next 18 months, the transition will generate significant benefits, including greater cost and capital efficiency, enhanced portfolio visibility, stronger relationships with retrocession partners and producing brokers, and improved alignment with the Company's risk appetite.

In 2025, Active Re will consolidate multiple retrocession protections and move away from a siloed approach. Similar business units across both in-house underwriting and MGA partnerships will be combined under a limited number of bespoke protections. While this unification is a complex undertaking given the multiple inception dates across portfolios, it will establish the foundation for a more agile and cost-effective model.

From an operational perspective, processes can vary outside established hubs such as London, Miami, and Bermuda. Active Re's new buying model addresses these challenges and promotes transparency through well-defined procedures, particularly relevant in markets where factors such as time-zone differences, language barriers, and less streamlined systems add complexity.

Retrocession partners play a dual role: they help absorb volatility and, over time, deepen their engagement with Active Re across multiple lines of business. This added depth mitigates execution risk and capacity churn while strengthening long-term business relationships.

Active Re regards its new retrocession framework as both a shield and a platform for growth. By embedding integrated protections and deploying capital efficiently, the Company reinforces its resilience and ensures it is well positioned to face an evolving risk landscape with confidence, irrespective of market cycle.

The background of the slide features a hand in the lower-left corner pointing towards a central glowing hexagon. The hexagon contains the letters 'GRC' in a bold, white, sans-serif font. The entire scene is set against a dark blue background with a network of glowing lines and nodes, suggesting a digital or technological environment. The top of the slide has a light blue header bar with the page number '06' on the right.

Corporate Governance, Risk & Compliance (GRC)

LOOKING BACK,
MOVING FORWARD

Sustainable Growth

Active Re adopts a proactive and structured approach to Corporate Governance, Risk and Compliance (GRC). This framework underpins the Company’s ability to manage uncertainty with confidence and to achieve its financial, operational and strategic objectives.

The integrated approach enhances the organisation’s capacity to anticipate change, respond effectively, and capture opportunities for continuous improvement. By embedding risk awareness across all business units, Active Re ensures that strategic decisions are taken with discipline and foresight.

Through timely information, robust governance, and effective communication, the Enterprise Risk Management (ERM) system strengthens decision-making, supports diversification and resilience, and reinforces long-term value creation. Consistent with the recognition received from AM Best, the

ERM framework also reflects the Company’s ability to maintain stability amid global volatility, ensuring alignment with regulatory standards and international best practices while safeguarding stakeholder confidence.

By embedding ERM within its culture, Active Re reinforces organisational resilience and fosters a forward-looking environment where informed decisions drive sustainable success. This approach is further strengthened by the effective implementation of the Economic Capital Model.

The Company remains fully committed to international standards, the regulatory framework of Barbados, its jurisdiction of origin, and the requirements of all markets in which it operates. This commitment extends to fostering responsible governance practices across all counterparties and business relationships.



Governance

Sustainable Growth
Investment Policy



Compliance

Talent Structure and Management
Business Development



Risk

Optimisation of Operational Performance
Innovation and Digitalisation

By embedding ERM within its culture, Active Re reinforces organisational resilience and fosters a forward-looking environment where informed decisions drive sustainable success.

Board of Directors
Active Re Leadership



Juan Antonio Niño Pulgar
Executive President



Ramón Martínez Carrera
Secretary



Margarita Niño de De La Rocha
Treasurer



Carlos García De Paredes
Independent Director



Kirk Cyrus
Independent Director

Alternate Director



Robert Ali



Christian Vergara



Juan Antonio Niño Reategui



Our People – Strength and Value

Active Re recognises that one of its most significant drivers of success is the human and professional quality of its team. The technical expertise, commitment and passion that each individual contributes generates a tangible impact both independently and across the Company's global collaborative network.

The Company places strong emphasis on the value created by generational, cultural, academic and professional diversity. This inclusive culture enhances the capacity to innovate, collaborate, and deliver collective results.

Diverse perspectives strengthen decision-making and enable the Company to address complex challenges through integrated and sustainable solutions. Active Re is therefore committed to fostering an environment where every individual can reach their full potential, supported by continuous learning, inclusive leadership, and professional growth aligned with strategic goals.

Active Re recognises that one of its most significant drivers of success is the human and professional quality of its team.

ESG Criteria (Environmental, Social & Governance)

Active Re embeds ESG principles into its operating model and long-term vision, ensuring resilience and sustainable value creation for stakeholders. Through strong governance frameworks and proactive risk management, the company seeks to generate long-term value while contributing to a more equitable and sustainable future. Governance is reinforced through strict compliance standards, transparent processes, and ethical conduct that protect the interests of clients, partners, and stakeholders.



Active Re integrates social responsibility and environmental stewardship into its business strategy

On the social front, Active Re fosters an inclusive and respectful workplace where cultural, ethnic, and religious diversity is recognised as a source of strength. Dialogue and mutual understanding are promoted through initiatives that celebrate different backgrounds, beliefs, and perspectives, reinforcing collaboration and a shared sense of purpose across its global team.

This commitment extends beyond the workplace. As a responsible corporate citizen, Active Re integrates social responsibility and environmental stewardship into its business strategy. The company upholds human rights, ensures fair and non-discriminatory working practices, and embeds sustainability principles across its operations.

Environmental responsibility is equally embedded. The company refines its risk models to better address exposures, particularly in vulnerable regions, and promotes ecological awareness across its operations. A tangible example is the ongoing optimisation of the digital approval dashboard, which reduces paper consumption and streamlines processes while enabling greater digitalisation and remote work capabilities. This approach not only minimises the need for physical resources and commuting, reducing environmental impact, but also supports employee well-being and work-life balance.

Collectively, these actions reflect Active Re's commitment to responsible growth, reinforcing its role as a trusted partner and contributing to a more sustainable future.

Regulatory and Compliance Commitments

AML, CTL & PF Implementation

Active Re's regulatory compliance framework is structured around critical areas such as Anti-Money Laundering (AML), Counter-Terrorism Financing (CTF), Counter-Proliferation Financing (PF), and wider Anti-Financial Crime (AFC) obligations. All practices are aligned with international standards established by the Financial Action Task Force (FATF), the United Nations (UN), the Organisation for Economic Co-operation and Development (OECD), and other globally recognised bodies.

Through rigorous due diligence (DD) procedures, grounded in accurate and up-to-date information, the Company identifies risks and fosters secure and trustworthy business relationships. These measures not only enhance transparency and accountability but also safeguard clients, partners and the markets in which it operates.

Guided by a strong commitment to ethical conduct and compliance, Active Re continuously strives to reinforce trust, integrity and resilience across all aspects of its operations.



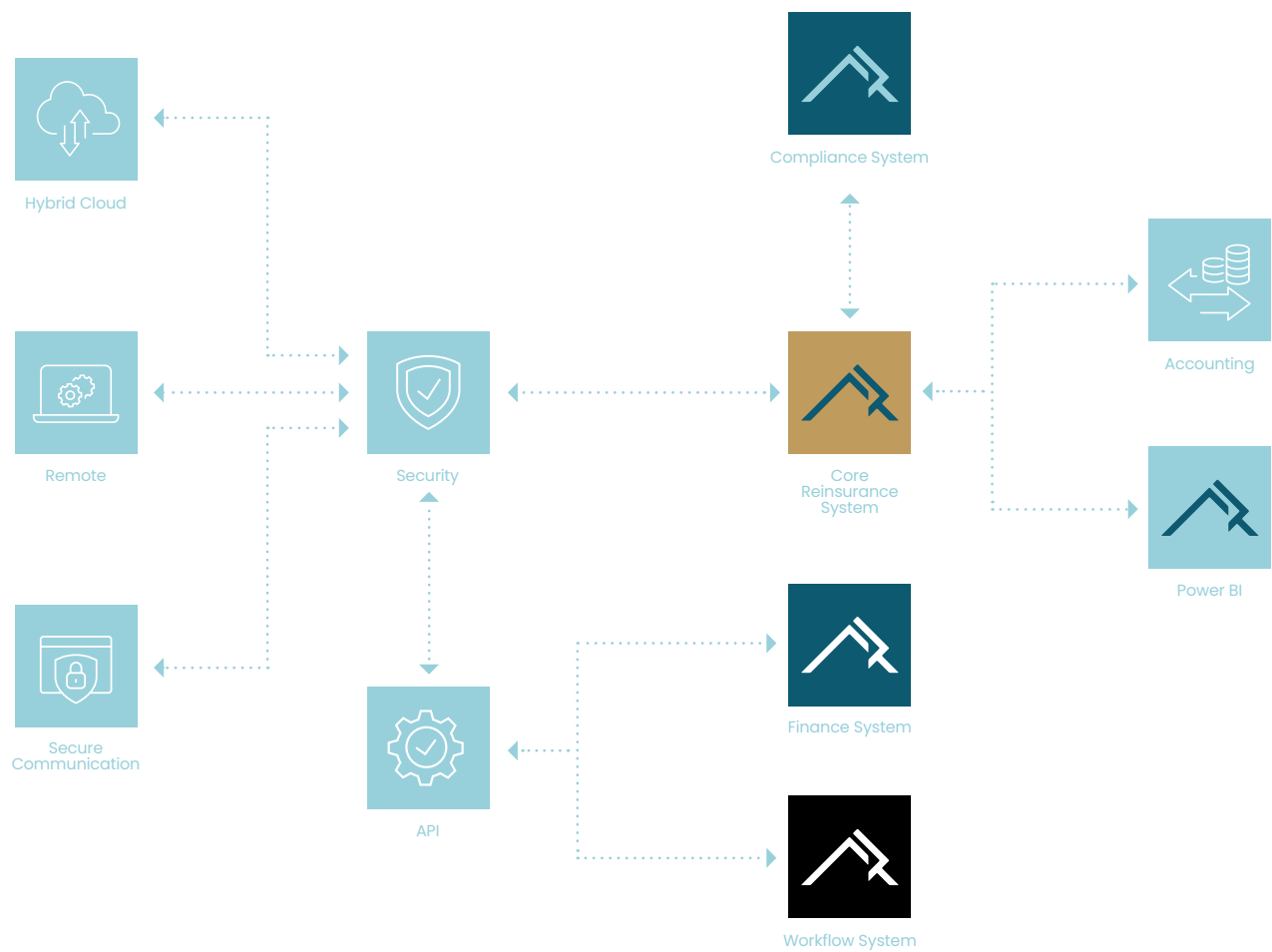
Technology & Innovation

LOOKING BACK,
MOVING FORWARD



IT Strategy: Security, Process Flow, and the Vision Ahead

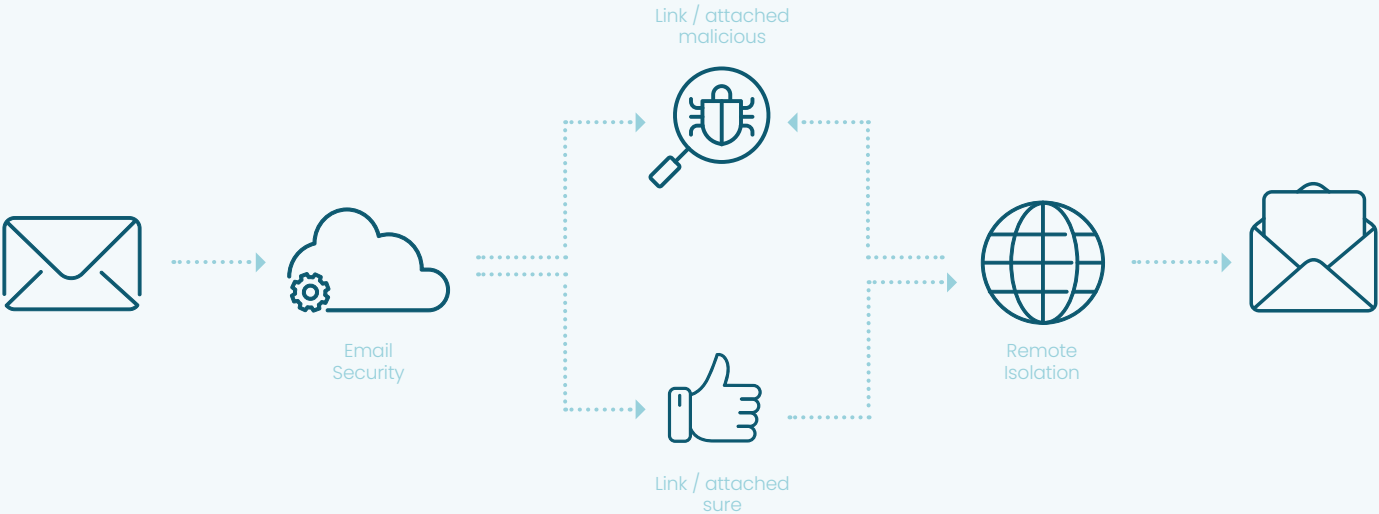
Throughout the year, Active Re advanced its technology platforms and innovation capabilities, keeping its operating model efficient, agile and secure. Key initiatives included modernising infrastructures, developing proprietary tools and integrating artificial intelligence, predictive analytics and robotic process automation (RPA). These initiatives strengthened collaboration, connectivity and data-driven decision-making, while improving the Company’s ability to anticipate trends and adapt to changing market conditions.



Security

Cybersecurity remained a priority. Active Re reinforced its Zero Trust architecture, focusing on access controls and network segmentation to mitigate intrusions and protect employees from fraud or unauthorised access. This was supported by advanced monitoring, brand-protection tools and strengthened security policies, alongside awareness initiatives designed to reduce human error, historically the weakest link in cybersecurity. Specialised Security Operations Centres (SOC) oversaw threats such as phishing and spoofing, combining automated detection with expert review to safeguard information integrity and business continuity. These efforts aligned with international standards, including NIST, GDPR and the legislation of Barbados.

The Company also enhanced its IT infrastructure to support a geographically diverse workforce, with nearly half of employees working remotely across time zones. Partnerships with regional technology providers optimised processes that do not require permanent on-site presence, ensuring robust support for office-based and remote teams alike.



Flow - Processes

Automation and analytics progressed significantly, improving document management, digital signing and data-driven underwriting. RPA now handles repetitive tasks, freeing resources while final validation and expert judgement preserve quality and compliance.

Over the years, innovation has also supported Active Re's sustainability objectives. The Company has virtualised servers, reduced paper consumption and promoted energy-efficient data centres, fostering an eco-efficient IT environment. By steadily digitalising processes and reporting, it optimises resources, strengthens transparency and reinforces its long-standing commitment to responsible, ESG-aligned operations.

Vision for the future

The focus on technology and innovation extends beyond operational efficiency to the building of long-term, trusted relationships with cedants, brokers and other stakeholders. Advanced analytics and automation free resources to deliver personalised, proactive service, anticipating partners' needs and offering tailored solutions.

Innovation stands at the core of Active Re's culture and strategy. It enhances resilience, strengthens confidence among cedants, brokers and partners, and preserves competitiveness in an increasingly data-driven, interconnected reinsurance market. By embedding innovation across underwriting, risk management and operational frameworks, the Company consolidates its position as a reliable, forward-looking reinsurer while creating sustainable value for stakeholders and strategic partners.





1st Floor, Somerley Building, Worthing,
Christ Church, BB15009, Barbados.
info@acreinsurance.com
+1 (246) 622-2333